

BLUE OCEAN SHIFT

Beyond Competing—Proven Steps to Inspire
Confidence and Seize New Growth

RENÉE MAUBORGNE & W. CHAN KIM



The Big “So What”

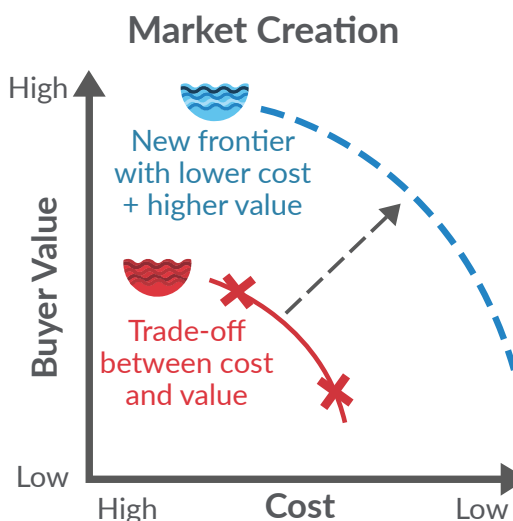
Blue Ocean Strategy was first published in 2005 to explain how organizations can successfully make the leap from cut-throat “red oceans” to wide-open “blue oceans”. This book organizes the tools and framework into a systematic 5-step process and explains how to mobilize your people for a smooth transition. This strategy guide is built on 30 years of research, and can be used by any organization—from profit, non-profit or public sectors—to make the shift from an existing, crowded market to a new, uncontested one.



Introduction

Today, every industry faces the challenges of rising costs, intense competition, and rapid changes. A “red ocean” is a saturated market where organizations must compete to survive. A “blue ocean” is a market with little/no competition. To move from red to blue oceans, you must create a new frontier where you can deliver both lower costs and higher value. This requires 3 key ingredients:

- Embracing a blue ocean perspective with a fundamental change in thinking. Stop focusing on competition within existing markets. Instead, expand your horizons and consider fresh perspectives to create real breakthroughs.



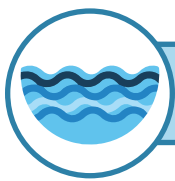
KEY QUOTES

“Blue ocean shift is a systematic process to move your organization from cutthroat markets with bloody competition...to wide-open blue oceans, or new markets devoid of competition, in a way that brings your people along.”

“Too many organizations are wedded to industry best practices even as they strive to break away from them.”

“By opening up a new value-cost frontier that is a leap beyond the existing industry productivity curve, a blue ocean is created and competition on the existing frontier is made irrelevant.”

- Equipping your people with the practical tools/approaches so they can create and implement the strategic shift.
- Embracing “humanness”: A strategic shift can only happen if people follow willingly. Don’t treat strategy formation and implementation as 2 separate processes, nor try to push people to change using structural changes or carrot-and-stick methods. Instead, (i) involve people from the onset, and (ii) win them over by giving them the inspiration and confidence to take action.



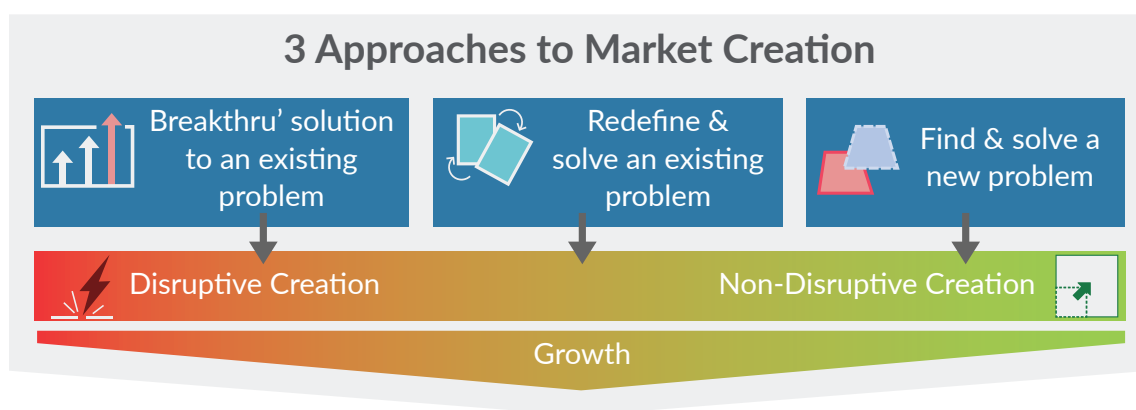
Fundamental Concepts



1. Understanding Market Creation



Market creation doesn’t have to mean a disruption or destruction of existing markets. There are 3 market-creation approaches, each with a different mix of disruptive vs non-disruptive creation.



- Providing a breakthrough solution to an existing problem. This typically disrupts existing firms/markets, even though the overall pie may grow. For example, cassette tapes were displaced by CDs, which were later displaced by the iPod and digital music libraries.
- Redefining and solving an existing problem to change industry assumptions and boundaries. This has both disruptive and nondisruptive elements. Cirque du Soleil combined elements of traditional circus (e.g. tents, clowns, acrobats) with elements of theatre and ballet (e.g. story,

KEY QUOTES

“Making a blue ocean shift is a transformational journey...To move toward the new frontier, you have to bring people along.”

“Growth has always been generated by market-creating moves based on both disruptive and nondisruptive creations.”

music, dance). In so doing, they captured a slice of each industry, while concurrently creating a new market for circus-goers.

- Finding and solving a new problem. In this case, there's no disruption, since new value and demand are created in a brand-new market beyond the current industry. For example, Sesame Street created a new market for early childhood education without displacing preschools, libraries, or storybooks.



Focus on value innovation, not technological innovation. A blue ocean comes from unparalleled buyer value, not new/superior technology. Starbucks and the Grameen Bank are examples of new markets created without new technology.



You don't need to be an entrepreneur to create a new market. All you need are the proper tools and processes to (i) translate innovation into buyer value and (ii) help people to overcome their fears and inertia.



2. The Blue Ocean Mindset



Use these 4 guiding principles to break free from a red ocean mindset and open up new blue ocean possibilities:

- Your existing industry boundaries and conditions aren't fixed. You can shape and transform the boundaries—you're limited only by your imagination.
- Don't focus on beating your rivals. Seek to make your competition irrelevant by delivering a quantum leap in value. Ask yourself: how can we deliver such a compelling offering that we'd win masses of buyers even without marketing? This forces you to rethink the bases of your competition and investment.
- Don't fight over existing customers. Focus on creating and capturing new customers, which unlocks a much larger untapped demand or market.
- Don't choose between low cost or differentiation. Create superior value by offering both low cost and differentiation.

KEY QUOTES

"Adopting the perspective of a blue ocean strategist opens your mind to what could be, instead of limiting it to what is."

"While technology innovators may lay extraordinary eggs, they are seldom the ones who ultimately hatch them."

"You can't expect to create a blue ocean if you think like a red ocean strategist."

"Industry boundaries are not fixed. They are as fluid as your imagination."

"On your blue ocean shift journey, noncustomers, not customers, provide the greatest insight into what your industry is doing to limit demand and how you can overcome this."



3. Humanness



People want to make an impact, yet they're afraid to fail. Adopt a humanistic approach: give people inspiration, confidence and direct their creative energy with 3 elements.

- Atomization: A big leap to a blue ocean can seem daunting. Instead, break it down into tiny, specific steps that people can grasp and execute to achieve quick wins.
- Firsthand discovery: If you tell people to change, they'll resist. Instead, create the conditions where people will discover for themselves the need for change. Give them the tools to arrive at the conclusions themselves, and get them out on the field so they can see/experience the buyers' pain points and alternatives.
- Fair Process: This involves 3 principles to develop trust and cooperation: (i) engagement (actively involving people in the process), (ii) explanation (helping people to understand the rationale for each step) and (iii) clear expectations (giving clarity on roles, responsibilities and what to expect).



Equip people with specific tools and frameworks (using the 5-step process below) to direct their creative competence.



The 5 Steps of a Blue Ocean Shift



1. Get Started

The first step is to identify the area with the biggest potential gain and put together the right team for your blue ocean initiative.



Focus your blue ocean initiative on the single most feasible product offering. Use the Pioneer-Migrator-Settler (PMS) map to get a visual overview of your organization's value innovation pipeline.

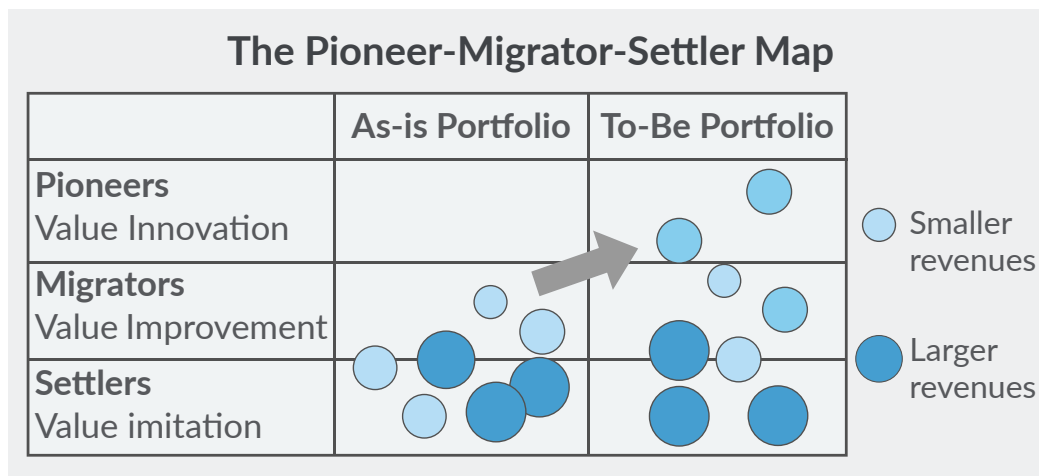
KEY QUOTES

"People are paradoxical. We aspire to make a difference... Yet, simultaneously, most of us fear we can't."

"When confidence to act and creative competence meet, real results are achievable."

"While achieving a blue ocean shift may seem like magic, it is not. There is actually a systematic process that is accessible to everyone."

- Organizations tend to focus on market share and industry attractiveness, which reflect past (not future) performance. The PMS map focuses on the value being delivered to buyers and innovation to overcome industry constraints. The innovative value of your offerings reflects how healthy your portfolio truly is.
- The Map is split into 3 segments: pioneers, settlers and migrators.
 - Pioneers are offerings that offer *value innovations*. They break away from the competition to open up new frontiers, and are your keys to future growth and profitability.
 - Settlers lie on the other extreme with *value imitation*. They compete mainly on price and small changes, with low prospects for growth. Microsoft's Office and Windows are decades-old Settlers that still contribute to the bulk of its profits.
 - Migrators lie in between: they offer some *value improvement* over competitors, but not innovative value.



- Plot your Pioneer-Settler-Migrator map:
 - Get your key managers (minimally the unit heads) to list down your *key businesses* and *products/services*. Then, identify if each offering is a pioneer, migrator or settler, in terms of the *current* value and innovation from the *buyer's perspective*. The circle sizes should reflect each offering's relative revenue. A real pioneer must deliver a quantum leap in buyer value—if any of the pioneers are small circles, examine *why* it is so.

KEY QUOTES

"In organizations with blue ocean offerings, you will see pioneers that are planting the seeds for tomorrow's profit and growth."

(ii) Have the managers do the exercise individually, then *collectively discuss and plot the Map*. Involve all key decision-makers (e.g. product owners, legal and finance teams). This creates a fair process, allows people to share perspectives and feel invested in the process and outcome.

- Evaluate your map. Your goal is to have a healthy balance of settlers and migrators (for cash and stability) and pioneers (to drive future growth). If you already have a balanced portfolio, there's no need for a blue ocean initiative yet. Otherwise, upgrade your portfolio by *choosing 1 offering* that best meets these 4 criteria:

- (i) It's a settler or low migrator (i.e. already in a red ocean);
- (ii) It's headed by a manager who wants to shift to a blue ocean;
- (iii) There're no other major initiatives in that unit; and
- (iv) The unit is under clear pressure to take action (e.g. it's facing intensifying competition or is already in the red).

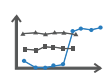


Put together the right team to drive the initiative and involve them from the onset. Ensure *all* key functions involved in the offering are represented (about 10-15 people). Choose people with the right character, i.e. respected, credible, good listeners, ask good questions and can get things done. They must know their functions well, and be willing to spend about 10% of their work hours on the initiative. Include 1 (maybe 2) naysayers, but ensure they're a minority. Appoint a strong team leader.



2. Establish the Current State of Play

The next step is to capture your strategy clearly so everyone's aligned on the strategic landscape and exactly where you stand.



The Strategy Canvas provides a 1-page picture that helps you to crystallize your strategy and put everyone on the same page.

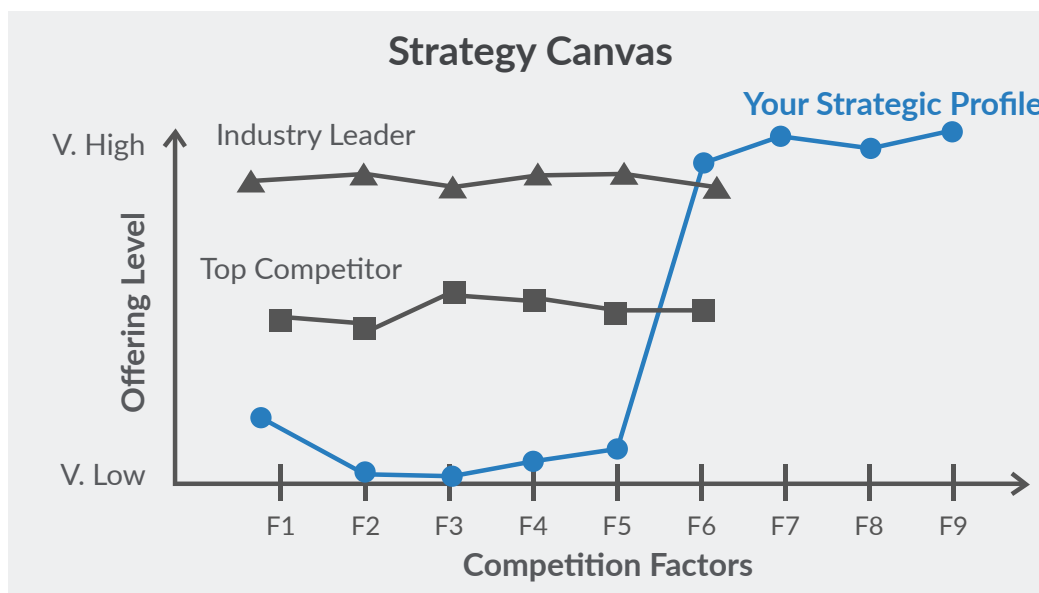
KEY QUOTES

"In the end, the offerings...get plotted...by the people running those units. It's their call, not yours, which is the outcome you want."

"When it comes to whom to select for the team, job title is not the most important factor. Character is."

"When people see what the strategic reality is, and agree on the need for change, you can create real alignment and a collective will to make the shift."

- The horizontal axis captures the key factors that the industry invests in or competes on. The vertical axis shows the offering level buyers get for each factor. The canvas also shows how similar or different the key players' strategic profiles are.
- A good strategic profile should meet 3 criteria:
 - (i) It has a *divergent* shape from the industry norm;
 - (ii) It's *focused* on the key factors that deliver a leap in buyer value (while cutting down the rest); and
 - (iii) It has a *compelling tagline* that captures how the offering is unique.



Draw your "as-is" strategy canvas for the current state of play.

- Identify 5-12 key competing factors that describe the offering's value from the buyers' perspective. These can involve the product, service, or delivery platforms, e.g. charity fund-raisers may offer gala events, advocacy, donor recognition etc.
- Get managers to draw up their own lists, then consolidate the inputs, discuss and decide on the list of key factors. Don't confuse brand or organizational strengths (e.g. new technology) with competing factors (e.g. ease of use, reliability).
- Choose up to 3 key player(s) to compare against, including the industry leader or your strongest competitor(s). Using a

KEY QUOTES

"Remember you are looking to capture the big picture from buyers' perspective, not technical differences from the supplier's perspective."

5-point scale, have the team rate the offering level for each factor for your product followed by the reference company.

- The canvas shows exactly where you stand and provides a baseline for subsequent discussions. Do you have a unique or “me-too” strategic profile? Get the managers to write down, *share and discuss their insights*.



3. Explore What Could Be

Next, help the team to envisage how to shift from the current red ocean into a new blue ocean by uncovering buyer “pain points” (caused by your industry’s hidden constraints) and identifying how new demand can be unlocked.

-  Use the Buyer Utility Map to identify the hidden “pain points” in your industry—things that reduce buyers’ utility or cause them to choose other alternatives. The Map lists (i) 6 stages of the Buyer Experience Cycle and (ii) 6 Utility Levers that can affect the 6 experiences.

Six Stages of the Buyer Experience Cycle (BEC)								
Six Utility Levers		Purchase	Delivery	Use	Supple ments	Mainte nance	Disposal	
	Customer Productivity			0				0 Current Industry Focus
	Simplicity					X	Detailed Notes	
	Convenience	0	0					X Buyer Pain Points
	Risk Reduction				X	Detailed Notes		
	Fun & Image			X	Detailed Notes			
	Environmental Friendliness						X	Detailed Notes

- Have the team imagine the buyer’s activities for the 6 phases of the Buyer Experience Cycle: Purchase → Delivery → Use → Supplements (what’s needed to make your offering work) → Maintenance → Disposal. Then, consider the 6 Utility Levers: Productivity, Simplicity, Convenience, Risk Reduction, Fun and Image, and Environmental Friendliness.

KEY QUOTES

“The challenge is to help team members not only see the need to make a blue ocean shift, but also make room in their mental cups so that they have the space and thirst to look at the world anew.”

“The Buyer Utility Map...lets the team identify not only the full range of ways an industry delivers utility to buyers, but also...where it blocks utility.”

- For each of the 36 utility spaces, ask “What’s the biggest block to this lever at this stage?” and “What are the main reasons for this block?” Put an “X” in spaces with a pain point, an “O” for spaces that the industry currently focuses on, and keep your detailed notes. For example, furniture sellers may only deliver the furniture to a buyer’s building, when buyers struggle to get the bulky furniture from the lobby up into their apartment.
- This process helps the team to see the spaces neglected by the industry, i.e. where hidden value may be unlocked. You don’t need a perfect analysis to get useful insights. Get the managers to share/discuss what they’ve learned, focusing on the opportunities behind the pain points. Consider sending the team into the field to experience the full buyer cycle beyond the initial point of sale, so they can gain deeper insights.

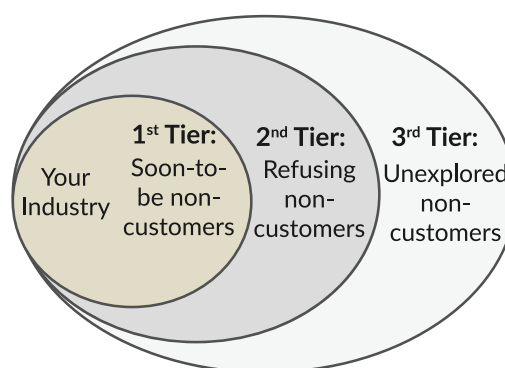


Now, the team is ready to dig deeper into who the noncustomers are and why they don’t use your offering. Specifically, there are 3 tiers of noncustomers.

- Your total potential demand = existing customers + 3 tiers of noncustomers.

3 Tiers of Noncustomers

- (i) *Soon-to-be noncustomers* who patronize your industry only because they have no choice. They’ll to switch to better options once those are available.



- (ii) *Refusing noncustomers* who considered but rejected your offering in favor of another alternative (e.g. choosing painting over wallpapering the house).
- (iii) *Unexplored noncustomers* who could’ve benefit from your offering, but never considered it because it’s too unviable or unattractive. Square Inc. realized that small businesses like food-truck vendors weren’t accepting credit/debit card payments—by shrinking the credit card readers and leveraging smartphone capabilities, they created smaller, cheaper point-of-sale devices suited for these noncustomers.

KEY QUOTES

“In the blue ocean shift process, pain points...are blatant opportunities to change the playing field of strategy.”

“The universe of noncustomers not only exists, but provides expanding growth opportunities.”

- To identify your noncustomers:
 - (i) Expand the team's minds by sharing case studies of how various industries have unlocked noncustomers.
 - (ii) Get the team to brainstorm and discuss who are (a) the customers who buy/use your current offering vs (b) the 3 tiers of noncustomers in your industry. The goal is not to segment the market in detail, but to see the big picture of the untapped demand.
 - (iii) Break up into subgroups to quickly research the rough size of the untapped demand, i.e. estimate how valuable each tier could be if unlocked.
- Get the team to share and discuss their insights and recap all the discoveries you've made so far.

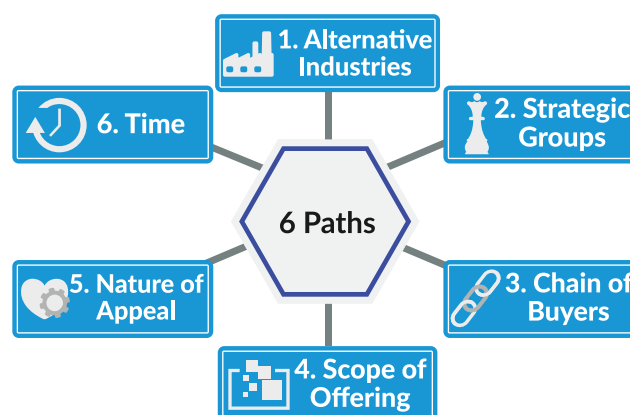


4. Define How to Get There

This step is about translating the big picture into practical blue ocean strategic moves by reconstructing your market boundaries and identifying factors you can eliminate, reduce, raise and create.



Organizations tend to define (and unknowing limit) their playing field with 6 boundaries. Use the Six Paths Framework to break free from these artificial constraints.



- Explain the big picture, goals and processes, then split the team into 2 sub-groups, each focusing on 3 paths:
 - (i) For each path, the team members will go into the field and interview 10-12 people (customers + noncustomers). They should take pictures/videos and record *all* their insights (including outliers) since the details can add up to provide a breakthrough idea.
 - (ii) Then, have members regroup to share/discuss their insights, and arrange follow-up interviews if needed.

KEY QUOTES

"The purpose is to seek a higher-level understanding of the macro contours and commonalities that cut across and unite existing customers so you'll be able to see the forest for the trees."

"Boundaries do not define what must be or should be. They merely define what is."

"No observation is too small, as many seemingly small observations can later add up to the big insight that creates a blue ocean."

- Here's a breakdown of the 6 paths to be explored:

Shift in Lenses Red → Blue Ocean	Key Steps & Questions to Address
Path 1: Industry Focus on rivals within the industry ↓ Look across alternative industries	(i) What key buyer needs do you address? → (ii) What other industries serve the same needs? → (iii) Which ones attract the most buyers? → (iv) Interview buyers (your noncustomers) from those industries → (v) Ask why they rejected your industry (the negatives) and why they chose the alternative industry (the positives) e.g. why they chose to travel via train instead of airplane → (vi) Record your insights.
Path 2: Strategic Group Focus within a strategic group ↓ Look across strategic groups	(i) Define the strategic groups in your industry or target industry (i.e. companies with similar business models/offerings, e.g. "fast food" or "fine-dining" restaurants) → (ii) Pick 2 largest groups → (iii) Interview buyers from each group → (iv) Ask why they traded up/down from 1 group to another, focusing on key factor(s) behind their choices → (v) Record your insights.
Path 3: Buyer Group Focus on the existing industry buyer group ↓ Look across the full chain of buyers + redefine industry buyer group	(i) Define the chain of buyers (users, purchasers, influencers) in your industry or target industry → (ii) Define the main buyer group that the industry focuses on → (iii) Focus on the neglected groups (e.g. the parent who pays for their teen's gadgets) → (iv) Interview buyers in their natural setting (e.g. interview retailers in their retail stores) → (v) Learn how they define value + observe the biggest challenges/burdens they face from the current industry focus → (vi) Record your insights.
Path 4: Scope of Offering Maximize offering value based on the industry's definition ↓ Look at how complementary products/services can add/reduce your offering's value	(i) Observe buyers as they use your offering → (ii) Consider the total solution the buyer seeks by observing what happens before, during, and after its use → (iii) Watch for things that trigger the need/desire for your offering + inconveniences or blocks to utility → (iii) Group your insights by frequency or importance (e.g. in rural South Africa, the main block to TV purchase was the lack of electricity, so TVs with car batteries unlocked a huge demand) → (iv) Use the buyer utility map and 3 noncustomer tiers as a guide → (v) Record your insights.
Path 5: Nature of appeal Improve offering based on the industry's functional emotional orientation ↓ Rethink the orientation	(i) Identify your industry's current basis of appeal—is it mainly functional (common for supermarkets or legal services) or emotional (common for luxury goods)? → (ii) Ask customers/noncustomers to describe the industry with 3-5 adjectives (and probe for reasons) → (iii) Identify commonalities → (iv) Explore how the offering would be like if you flipped the orientation (emotional ↔ functional) → (v) Record your insights.
Path 6: Trends over Time Adapt to external trends as they occur ↓ Proactively shape external trends that decisively impact your industry	(i) Get the team to research and identify 3-5 trends with the most decisive impact on your industry or target industry in the next 3-5 yrs → (ii) Discuss if/how each trend has a decisive impact on your industry, how irreversible it is, and if there's a clear trajectory → (iii) For each trend that's impactful, irreversible and has a clear direction, consider how it'll affect buyer value and your business model over time → (iv) Record your insights.

KEY QUOTES

"The paths show you how to look at the market universe anew and to see what others don't see."

"Organizations that are big on segmentation...often have a tougher time distinguishing the forest from the trees."

"Observe them actually using the product or service, so the unvoiced, taken-for-granted assumptions they make and the steps they take can be revealed."

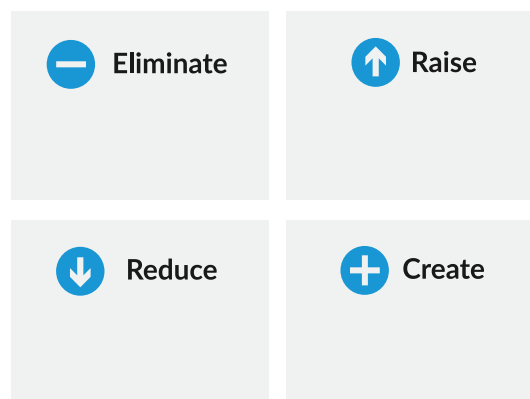
- It takes a lot of time and effort to do the fieldwork and interviews, but it's extremely rewarding if done properly. You'll gain valuable insights and the team will experience a shift in mindset and perspective.

 The team is now ready to use the Four Actions Framework: to translate the firsthand insights from the 6 Paths fieldwork into concrete options for achieving both low cost *and* differentiation.

- Challenge the factors that the industry has been taking for granted, by asking:
 - (i) What can be *Eliminated*? These are factors that no longer add value and may even decrease value.
 - (ii) What should be greatly *Reduced* below industry standard? These are over-designed factors where costs exceed value.
 - (iii) What should be greatly *Raised* above industry standard? These are factors that buyers want more of.
 - (iv) What should be *Created*? These are new factors that create new buyer value to convert noncustomers to customers.

 Combine the insights into the 3 key outputs for Step 4:

- For each of the 6 Paths earlier, the team should've discussed their insights and agreed on a set of key factors that're relevant to consumers and nonconsumers. Put them into the 4 sections of the ERRC Grid: Eliminate, Reduce, Raise, or Create. Ensure all 4 sections are filled, though it's normal for only 2-3 paths (out of 6) to deliver useful blue ocean insights.
- Then, create a "to-be" Strategy Canvas: Overlay the factors onto the original canvas on a scale of 0-5, with 0 being factors to be eliminated. You can now see your new strategy profile.



KEY QUOTES

- Develop a succinct tagline that captures how each proposed offering will create a leap in buyer value.



5. Make your Blue Ocean Move

The final step is to select and launch your strategic move, testing and refining your business model quickly to maximize its potential.



By now, you have up to 6 potential offerings, each with a “to-be” Strategy Canvas. Use the Blue Ocean Fair—which brings together your team members, key decision makers, customers and noncustomers—to decide which strategic offering to pursue.

- During the Fair:
 - (i) Present an overview of the current red ocean and why you need a Blue Ocean Shift. Then, get the team to present each of the strategic options (including the to-be strategy canvas, the ERRC grid, benefits for the buyers and the organization).
 - (ii) The team splits up to man separate display stations for each strategic option.
 - (iii) The attendees visit all the stations, share their views and cast their votes. Probe for the rationale behind their votes.
 - (iv) The executive team decides which option to pursue (and explains the choice if it’s not the one with the most votes).



Once the decision is made, the team should quickly develop and market-test a prototype to confirm what they’ve learned, make refinements and assess the market potential. To formalize the business model and generate profitable growth, you must address both the value and the cost aspects of the new offering.

- The initial team is now expanded to include all key operational expertise. It’ll work full-time on the initiative

KEY QUOTES

“The fair is designed to take the politics out of the decision-making process, obtain validation and feedback on the strategic options, and consolidate people’s commitment to and support for the chosen move.”

“Your to-be strategy canvas has to be non-negotiable. What is negotiable is how your business model delivers it.”

with top management's mandate. The goal is to deliver the strategic offering from the ERRC Grid and to-be strategy canvas.

- Decide on the ideal strategic price and profit margin for the offering, then work backwards to calculate your target costs. Challenge the whole organization to achieve the target costing through (i) strategic partnerships, (ii) operational streamlining and innovations and (iii) ways to boost people's positive energy and contributions.
- Implement your Blue Ocean Shift, starting small (so you can iron out any kinks) before building your momentum.



Putting it Together

Blue Ocean Shifts won't happen overnight. But if you follow the steps above, you'll be able to see tangible results within a year.



Let's wrap up with an example of how Group SEB created a blue ocean from the saturated red ocean for kitchen appliances.

- French multinational Group SEB was facing growing competitive pressures, especially in the shrinking market for electronic French-fry makers. After applying the Blue Ocean tools and processes, they realized that there were 2 industry assumptions that created huge pain points for customers: (i) great-tasting fries had to be fried with (ii) lots of oil. Fieldwork with customers uncovered many concerns, e.g. risks during frying, the cost of oil, the difficulties of storing and disposing used oil, and the hassle of cleaning the machines.
- The team fundamentally redefined the problem from "how to make the best electric French-fry maker" to "how to make tasty and healthy fries without traditional frying". This led to the launch of ActiFry in 2006—it can produce 2 pounds of tasty fries with just a tablespoon of oil. It doesn't involve frying, has no safety nor oil disposal problems, and is easy to clean. Not only did ActiFry

KEY QUOTES

"A big-picture business model shows how the value and cost sides of an organization's blue ocean move come together to generate strong profitable growth at the set strategic price."

capture a huge share of the original market, it also created new demand from people who're now purchasing French-fry makers because they're healthier and easier to use.

KEY QUOTES